

Understanding Dollar Devaluation & Tech Stocks

Your Educational Workbook Companion

Welcome! This workbook is designed to help you understand and reflect on the concepts covered in the video about dollar devaluation and why tech stocks may be positioned as a modern safe haven.

This is **educational content only** — it's designed to help you learn, think critically, and ask better questions. It is **NOT financial advice**, and you should always consult with a qualified financial advisor before making any investment decisions.

Throughout this workbook, you'll find:

- **Key concepts** explained in simple terms
- **Reflection questions** to help you think about your situation
- **Worksheets** to apply what you've learned
- **Action planning tools** to guide your next steps

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All investing involves risk including potential loss of principal. There is no guarantee any investment strategy will be successful. Past performance does not guarantee future results and all investments carry risk of loss.

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Part 1: Understanding the Dollar Situation

The Debt Trap in Simple Terms

Imagine a family that earns \$100,000 per year but owes \$126,000 in debt. Every month, their debt keeps growing instead of shrinking. They can't save their way out or earn their way out at normal rates. This is similar to America's current situation.

\$38 Trillion

National Debt

\$103,000

Per American

\$266,000

Per Household

126%

Debt-to-GDP Ratio

 **America pays \$3.3 BILLION in interest every single day — that's \$1.2 trillion per year just to service the debt.**

 **The dollar has fallen 11% in the past 12 months to a 4-year low.**

Why This Matters to You

When a country can't pay back its debt the traditional way, history shows us one pattern happens again and again: **controlled currency devaluation** .

This means making the dollar worth less over time, so the debt becomes easier to pay. But this creates a "wealth transfer" from people holding cash to people holding assets.



REFLECTION QUESTION 1:

Think about your current financial situation. What percentage of your wealth is in:

Cash or savings accounts:

Bonds or fixed-income investments:

Stocks or other assets:



REFLECTION QUESTION 2:

If cash loses purchasing power by 11% in a year, how would that affect your financial goals? Write your thoughts below:

The Historical Pattern

This isn't the first time this has happened:

- **1971:** President Nixon ended the gold standard. Since then, the dollar has lost 87.5% of its purchasing power.
- **1985:** The Plaza Accord deliberately weakened the dollar to fix trade deficits.
- **2008:** Financial crisis led to money printing, dollar purchasing power dropped, stocks hit all-time highs.
- **2026:** Same playbook — debt crisis leads to currency devaluation.

As Warren Buffett said: *"The natural course of government is to make the currency worthless over time."*

💰 Part 2: The Wealth Transfer & Asset Positioning

Winners vs. Losers in Currency Devaluation

LOSERS (Cash Holders)	WINNERS (Asset Owners)
\$100,000 in savings loses \$11,000 in purchasing power per year	Stocks priced in dollars rise as dollar weakens
Salary buys 11% less than last year	Real estate worth more in nominal dollar terms
Bonds pay interest in depreciating dollars	Gold and silver surge to all-time highs
Purchasing power systematically eroded	Assets inflate while debts stay the same

⚠ Important Understanding: This isn't about being "good" or "bad" at investing. It's about understanding how monetary policy affects different types of assets. If you hold cash during currency devaluation, you're systematically losing purchasing power even if the number in your bank account stays the same.

Why Large-Cap Tech Stocks Are Positioned as a Safe Haven

The video explains five key reasons why U.S. technology stocks with global revenue are uniquely positioned during dollar devaluation:

REASON #1: Global Revenue Streams

When the dollar weakens, companies like Microsoft, Apple, Nvidia, and Google make MORE money because they sell globally. When they convert foreign currencies (euros, yen, pounds) back to dollars, they get more dollars for the same sales.

Example: Microsoft's Azure Cloud generates \$50 billion quarterly, much from overseas. An 11% dollar decline = 11% more dollars from foreign revenue.

REASON #2: AI Monetization Phase

Unlike the dot-com bubble (speculation with no profits), today's tech giants generate massive real cash flow RIGHT NOW. AI isn't future speculation — it's current revenue. Nvidia expects 62% earnings per share expansion in 2026.

REASON #3: Non-Sovereign Store of Value

These companies aren't tied to any single government's monetary policy. They operate globally, generate cash globally, and hold assets globally. When the U.S. devalues the dollar, Microsoft doesn't lose value — it gains value.

REASON #4: Liquidity

Unlike real estate (which is local and hard to sell quickly), tech stocks can be sold anytime the market is open. This gives you flexibility to respond to changing conditions.

REASON #5: Currency Hedge

By operating in multiple currencies and countries, large tech companies give you automatic currency diversification. Your dollar exposure is diluted across 50+ currencies.



REFLECTION QUESTION 3:

Looking at the five reasons above, which concept is newest or most surprising to you? Why?



REFLECTION QUESTION 4:

Consider your current investments (if any). Do they provide: (a) inflation protection, (b) earnings growth, (c) global diversification, (d) liquidity, or (e) currency hedging? List what you currently have:



Part 3: The Selling Rulebook

The Most Critical Skill: Knowing When to Sell

Most investors focus only on *what* to buy and *when* to buy. Professionals know that **knowing when to SELL is what separates wealth preservation from wealth destruction.**

Here are the five core rules from the video:

RULE #1: Never Let a Winner Turn Into a Loser

If a stock is up 20%, consider taking at least 25-50% of the position off the table. Lock in gains. You can always buy back in. Watching a 40% gain turn into a 10% loss is preventable.

RULE #2: Set Profit Targets BEFORE Entry

Before you buy any stock, decide your exit plan: "I'm selling 25% at +15% gain, 25% at +30% gain, and letting the rest run with a trailing stop." Have a plan before emotion kicks in.

RULE #3: Watch the Fed, Not the Noise

The Federal Reserve's policy drives macro trends. If they pivot from cutting rates to raising rates, the entire playbook changes. Watch Fed meeting minutes, employment data, and inflation reports — not daily news drama.

RULE #4: Rebalance Quarterly

Every quarter, review your portfolio. If tech went from 50% to 70% of your portfolio because of gains, consider taking profits and rebalancing. Don't let winners become too concentrated. Risk management beats FOMO (fear of missing out).

RULE #5: Have Cash Ready for Volatility

In a dollar-decline environment, there WILL be volatility spikes and market pullbacks. When everyone panics, that's when you can potentially buy quality names at discounts. Keep 10-15% in cash for these moments.

Example Scenario: Professional vs. Amateur Approach

Stage	Professional (With Rules)	Amateur (No Rules)
Entry	Buys at \$100 with exit plan	Buys at \$100, hopes for gains
At +15% (\$115)	Sells 25%, locks in profit	Holds, wants more
At +30% (\$130)	Sells another 25%, more profit	Still holding, getting greedy
Peak (\$150)	Riding remaining 50% with stop	Up 50%, still not selling
Decline (\$95)	Stop triggered on remaining shares	Now down -5% from entry
RESULT	\$4,500+ profit locked in	-\$500 loss, emotionally destroyed

Key Insight: Same stock, same price movements — completely different outcomes. The difference? Having rules and following them.



REFLECTION QUESTION 5:

Think about past investments (if you have any). Have you ever held a winning position too long and watched gains disappear? What would you do differently now?



REFLECTION QUESTION 6:

Which of the five selling rules is most challenging for you emotionally? Why?

✓ Part 4: Your Personal Action Planning Worksheet

Step 1: Audit Your Current Position

Take an honest inventory of where you are today. Remember, this is just for your education — not a recommendation.

How much cash do I have? (Beyond 6 months emergency fund)

How much is in long-term bonds?

What percentage is in stocks with global revenue?

Do I have any inflation hedges? (Gold, commodities, real assets)

Step 2: Education & Research Checklist

Before making any decisions, educate yourself further. Check off what you'll do:

- ☐ Research what "dollar devaluation" means and historical examples
- ☐ Learn about the Federal Reserve's current monetary policy
- ☐ Understand the difference between "nominal" gains and "real" (inflation-adjusted) gains
- ☐ Study what "debt-to-GDP ratio" means and why it matters
- ☐ Research large-cap tech companies' revenue sources (domestic vs. international)
- ☐ Learn about profit-taking strategies and trailing stops
- ☐ Consult with a qualified financial advisor about my specific situation

Step 3: Questions to Ask Your Financial Advisor

If you work with a financial advisor, consider asking these questions:

1. How is my current portfolio positioned for a potential dollar devaluation scenario?
2. What percentage of my portfolio is in assets that could appreciate during currency weakness?
3. Do I have adequate international diversification and currency hedging?
4. What is my exit strategy for each major position? Do I have profit-taking rules in place?
5. How do you track Federal Reserve policy changes and adjust portfolios accordingly?

Notes from advisor conversation:

Step 4: My Personal Action Timeline

This week, I will:

This month, I will:

This quarter, I will:

Step 5: Ongoing Education Commitment

Investing education is continuous. What will you do to stay informed?

- ☐ Set calendar reminders to review portfolio quarterly
- ☐ Track Federal Reserve meeting minutes (released monthly)
- ☐ Monitor Dollar Index (DXY) trends weekly
- ☐ Review tech sector earnings reports from major companies
- ☐ Continue learning about macroeconomic trends

Ready to Deepen Your Investment Education?

You're tired of watching your money sit idle while inflation eats away at your purchasing power, aren't you? While others struggle with investment decisions, educated investors are building their knowledge with research-backed strategies. **Felix & Friends** provides educational resources and research to help inform your investment decisions.

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